

Test Borrower Inc.

Product

Term Loan

Requested

Rs. 5,000,000

Report date

03 Jul 2026, 07:18 UTC

REFER

Risk grade BB (Speculative grade - significant uncertainties; business risk exposure is present.), estimated default probability 4.2%. Recommended action: Refer for review.

Final authority:

Relationship Manager (accept / reject).

Model

run.20260702.045113

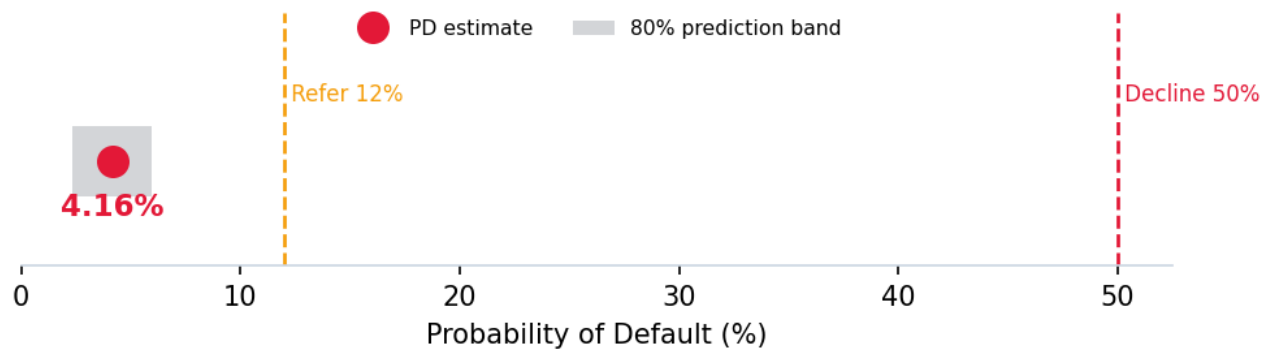
Policy

credit-policy-v1.0 (2026-06)

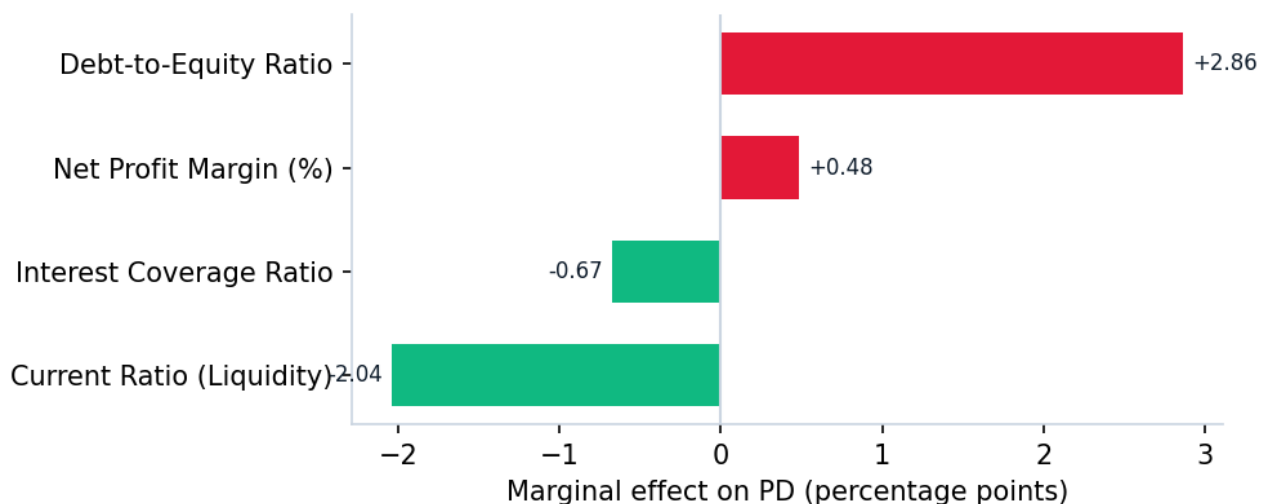
Decision Summary

Risk grade	BB — Speculative grade - significant uncertainties; business risk exposure is present.
Probability of default	4.16%
Confidence	MODERATE (band 2.4–6.0%)
Loss given default	45.0%
Exposure at default	Rs. 5,000,000
Risk-weighted assets	Rs. 62,500,000
Capital required	Rs. 5,000,000
Expected loss	Rs. 93,537 (1.8707%)
Indicative rate	24.0%
Suggested limit	Rs. 5,000,000

Probability of Default



Key Risk Drivers

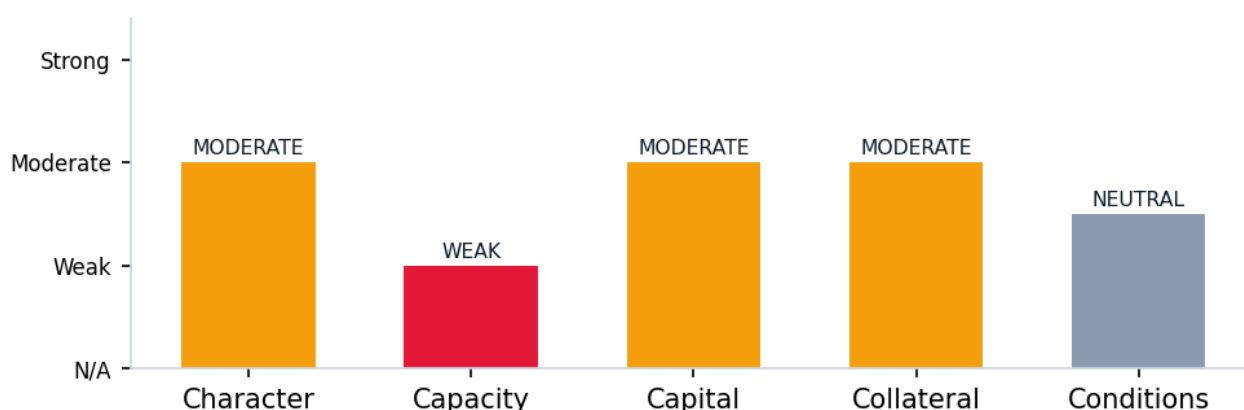


- ▲ **raises** **Debt-to-Equity Ratio:** Debt-to-Equity Ratio of 2.50x is above the risk threshold (benchmark $\leq 2.0x$)
- ▼ **lowers** **Current Ratio (Liquidity):** Current Ratio (Liquidity) of 1.20x is a positive factor - reduces default risk
- ▲ **raises** **Net Profit Margin (%):** Net Profit Margin (%) of 8.0% is below benchmark ($\geq 8\%$) - increases default risk
- ▼ **lowers** **Interest Coverage Ratio:** Interest Coverage Ratio of 2.50x is a positive factor - reduces default risk

Reason codes

Driver	Value	PD	Why it matters
Debt-to-Equity Ratio	2.5	+2.86pp	Debt-to-Equity Ratio of 2.50x is above the risk threshold (benchmark $\leq 2.0x$)
Current Ratio (Liquidity)	1.2	-2.04pp	Current Ratio (Liquidity) of 1.20x is a positive factor - reduces default risk
Net Profit Margin (%)	8.0	+0.48pp	Net Profit Margin (%) of 8.0% is below benchmark ($\geq 8\%$) - increases default risk
Interest Coverage Ratio	2.5	-0.67pp	Interest Coverage Ratio of 2.50x is a positive factor - reduces default risk

Five C's of Credit



Character [MODERATE]

CIBIL Score	650	≥ 750	Moderate bureau score - generally satisfactory credit conduct
Previous Default	No		No prior defaults on record
Late Payments (12m)	1	0	Occasional recent delinquency - monitor repayment discipline
Existing Loan Relationships	2		Established borrowing track record

Capacity [WEAK]

Interest Coverage	2.50x	$\geq 6.00x$ (model-learned)	2.50 - materially below benchmark (6.0), risk factor
Debt-to-Equity	2.50x	$\leq 1.86x$ (model-learned)	2.50 - materially exceeds benchmark (≤ 1.9), risk factor

Capital [MODERATE]

Net Profit Margin	8.0%	$\geq 6.0%$ (model-learned)	8.00 - well above benchmark (6.0), healthy
Current Ratio	1.20x	$\geq 1.60x$ (model-learned)	1.20 - materially below benchmark (1.6), risk factor

Collateral [MODERATE]

Seniority	Senior Secured (Other)		Unknown seniority class
LGD	45.0%	$\leq 25%$ (secured)	No collateral - base LGD applies

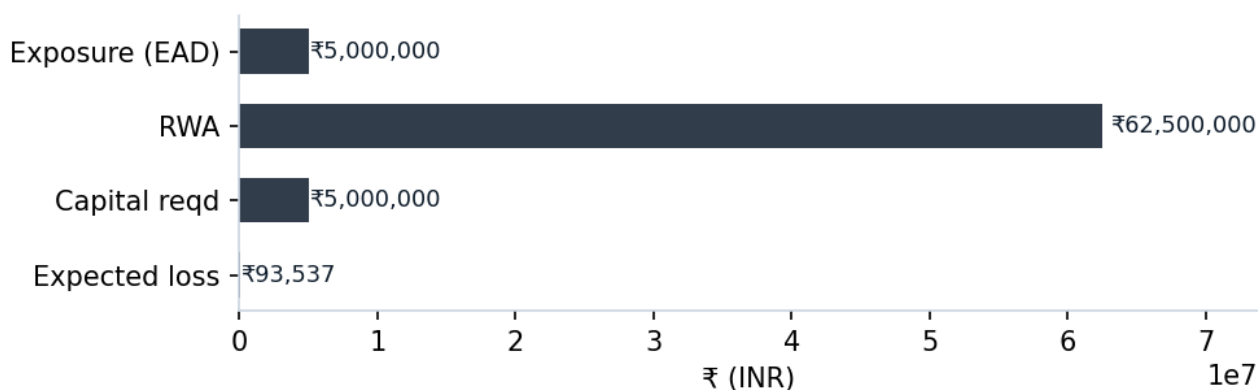
Conditions [NEUTRAL]

Loan Maturity	3.0 years	Standard
Borrower Category	Corporate	Standard corporate risk weights applied under Basel III
Capital Required	Rs. 5,000,000	8% of RWA Rs. 62,500,000

Metrics vs Approved Borrowers

Metric	Applicant	Approved median	Approved P25–P75	Status
Debt-to-Equity Ratio	2.50x	1.20x	0.80x–1.62x	WEAK
Interest Coverage Ratio	2.50x	8.70x	5.91x–11.28x	WEAK
Net Profit Margin (%)	8.0%	15.2%	10.8%–20.0%	WEAK
Current Ratio (Liquidity)	1.20x	2.12x	1.71x–2.55x	WEAK

Risk & Capital



Conditions & Recourse

Conditions attached

- Add a co-applicant or reduce quantum to bring FOIR within policy.

Watch items / policy flags

- FOIR 45% in 45-55% review band.

What could change the outcome

- Target: reduce D/E by retiring high-cost debt or injecting equity. Options: use operating cash flows for debt repayment, negotiate debt-for-equity swap, or raise fresh equity capital.
- Review cost structure - particularly operating leverage. Identify low-margin product lines for repricing or exit. Working capital efficiency improvements can also lift margins.

Reassessment: Recommend formal reassessment in 6 months given conditions/borderline profile.

Decision Provenance (hash-chained)

Timestamp	Event	Actor	Hash
2026-07-03 07:18:31	CASE CREATED	relationship manager	461ffe9b522e
2026-07-03 07:18:31	MACHINE RECOMMENDATION	machine	b02f7a7bbac1

This report is generated from the platform's Machine Recommendation (M), the relationship manager's decision (H) and the governed organisational outcome (O). PD, LGD, RWA and pricing follow the Basel III AIRB methodology; capital required

is 8% of RWA. The relationship manager is the final approving authority. Document is reproducible from the case content hash and is for internal credit-decisioning use.